

AMENDMENT TO GROUND LEASE

THIS AMENDMENT TO GROUND LEASE ("**Amendment**") is made and entered into as of the 8 day of ~~August~~ ^{SEP}, 2020, by and between **SUNSET-MIAMI INVESTMENTS, INC.**, a Florida corporation ("**Landlord**"), whose address is 1313 Ponce de Leon Boulevard, Suite 200, Coral Gables, Florida 33134, Attention: G. Frank Quesada, Esq., and **ALTA SUNSET, LLC**, a Florida limited liability company ("**Tenant**"), whose address is c/o ALTA Developers LLC, 2950 SW 27th Avenue, Suite 220, Miami, Florida 33133, Attention: Henry Pino.

WITNESSETH:

WHEREAS, the Landlord and Tenant entered into that certain Ground Lease effective as of September 1, 2018 (the "**Lease**"; initially capitalized terms used herein and not otherwise defined shall have the meanings set forth in the Lease); and

WHEREAS, in accordance with the terms of the Lease, the Tenant was to obtain the Building Permit for the Construction of the Project not later than within eighteen (18) months after the Effective Date of the Lease. Said eighteen (18) months period expired on March 1, 2020 (the "Building Permit Expiration date"); and

WHEREAS, the Landlord and Tenant agreed to extend the Building Permit Expiration Date until April 1st, 2020; and

WHEREAS, the Parties have the option to terminate the Lease, on or after the Building Permit Expiration Date and the Tenant does not want now to incur the cost of the Permit, the Tenant has requested Landlord to extend such Expiration Date as more particularly set forth below.

NOW THEREFORE in consideration of the covenants and conditions contained herein and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agrees as follows:

1. The foregoing recitals are true and correct and are incorporated herein in their entirety.
2. This Amendment shall be deemed a part of, but shall take precedence over and supersede any provisions to the contrary contained in the Lease.
3. Within thirty (30) days from the execution of this Amendment, the Tenant shall demolish and remove the Building and all Improvements located on the Land in accordance with all applicable industry standards and governmental rules and regulations.

The parties agree that the cost of said demolition shall be paid from the Escrow Deposit held by Quesada Valdes, PLLC, as Escrow Agent. However, said payments from the Escrow Deposit shall not exceed \$200,000.00. The demolition contract shall be given to the lowest bidder as may be procured by either Tenant or Landlord.



4. **Section 3.2 (iv)** is amended as follows:

“(iv) Tenant shall not commence construction of the Project until:

1) Tenant has delivered to Landlord a full and binding loan commitment from a federally regulated lending institution for not less than 55% of the total of the Project; and

2) If Tenant does not seek institutional financing for the construction of the Project, and decides to use Tenant’s own funds or secure private financing, then the Tenant shall deposit with the Escrow Agent an additional \$1,000,000.00 Security Deposit and

All the remaining terms and conditions in Article 3, shall remain in full force and effect. All language that makes reference to upkeep, maintenance and demolition of existing Improvements shall be considered deleted as of the date of completion of the demolition as stipulated in this Amendment.

5. **Section 4.1** of the Lease is hereby amended so that the Third Deposit shall be the amount necessary to increase the remaining funds in the Escrow Agent’s account on said date to a total of \$1,000,000.00. For purposes of clarification, within three (3) Business Days following the issuance of the Building Permit by the City of South Miami, Florida, Tenant shall deposit the Third Deposit with the Escrow Agent. The definition of “Third Deposit” in Article 1 shall be amended to mean \$450,000 (Four Hundred Fifty Thousand Dollars), or other such amount as may be necessary to replenish the Escrow Deposit to \$1,000,000.00 due to the expenditure of the demolition costs as per Paragraph 3 above. The remaining terms and conditions in Section 4.1 shall remain in full force and effect.

6. **Article 4.2(b)** of the Lease is hereby amended as follows:

(b) effective on the Completion Adjustment Date, the Base Rent shall be increased to a net annual rent of Six Hundred Twenty-Five Thousand and No/100 Dollars (\$625,000), payable monthly in advance in the amount of Fifty-Two Thousand Eighty-Three and 33/100 Dollars (\$52,083.33) per calendar month on the first day of each calendar month thereafter; provided however, that, to the extent Tenant has not completed the Project within forty-eight (48) months from the earlier to occur (i) the issuance of the Building Permit, or (ii) the Building Permit Expiration Date, as amended below, subject to Force Majeure, the Base Rent shall increase to Six Hundred Twenty-Five Thousand and No/100 Dollars (\$625,000) per year, payable in monthly installments and subject to annual increases as outlined in subsection (c) below; and

(c) continuing on each anniversary of the Effective Date, the Base Rent shall be increased to an amount equal to the Base Rent payable during the immediately preceding twelve (12) month period increased by two percent (2%). If Tenant has not achieved and reached the Completion Adjustment Date by April 1, 2024, then the yearly rent of \$625,000.00 shall be increased by the compounded and prorated 2% increase to the date the Completion Adjustment

Date is achieved, (e.g. Completion Adjustment Rate reached April 1, 2025- \$637,500.00; April 1, 2026- \$650,250.00). Actual rental payments shall not commence until the Completion Adjustment Date is achieved.

The remaining terms and conditions in Section 4.2 shall remain in full force and effect.

7. **Article 22** is amended and restated as follows:

“Tenant shall have until February 1st, 2022 (the “**Building Permit Expiration Date**”) to obtain a Building Permit from the City of South Miami, Florida. In the event the Building Permit is not issued by the Building Permit Expiration Date, then the Tenant shall have the option to extend the Building Permit Expiration Date (the “Option to Extend”) for an additional six (6) months by providing written notice to Landlord of its intent to exercise the Option to Extend (“Notice to Extend”), said written notice to be provided no later than sixty (60) days prior to the Building Permit Expiration Date. In the event that the Tenant exercises the Option to Extend, Tenant shall simultaneously with the Notice to Extend deposit an additional Two Hundred Fifty Thousand and No/100 Dollars (\$250,000) (“Option to Extend Deposit”) with the Escrow Agent. After the Building Permit Expiration Date, or the extended Building Permit Expiration Date, if the Building Permit has not been issued, then either Landlord or Tenant shall have the right to terminate the Lease by providing written notice to the other party. In which event (a) the Escrow Agent shall deliver the total remaining balance of the Escrowed Funds to Landlord; (b) Tenant shall pay to Landlord the Base Rent and all other charges required to be paid by Tenant up to the time of such termination of this Lease; (c) Tenant shall quit and surrender the Real Estate and Existing Improvements, if any, to Landlord and shall have no further rights to same whatsoever; and (d) Tenant shall indemnify Landlord for any damages. Tenant shall use commercially reasonable efforts to release any liens, encumbrances, reservations, covenants, dedications, easements of any kind imposed on the Land during Tenant’s period of control.”

7. The definition of “Escrowed Funds” in Article 1 shall be amended to include the Option to Extend Deposit of Two Hundred Fifty Thousand and No/100 Dollars (\$250,000).

8. The Landlord and Tenant acknowledge and agree that the Tenant shall continue paying the Landlord the Base Rent, plus all adjustments stipulated in the Lease.

9. Upon the execution of this Amendment, the Tenant shall pay the Landlord the \$25,000.00 extension fee, still unpaid, for the month of March 2020-.

10. All of the terms and conditions of the Lease except for the changes contained herein shall remain in full force and effect.

11. This Amendment may be executed in several counterparts, each of which shall be deemed an original, but all constituting only one agreement.

IN WITNESS THEREOF, the Landlord and the Tenant have executed this Amendment on the date first written above.

(Signature Pages to Follow)

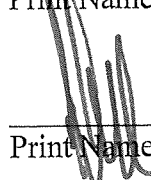
Signed in the presence of:

LANDLORD:

SUNSET-MIAMI INVESTMENTS, INC., a
Florida corporation


Print Name: G.F. QUESADA

By: 
Name: Teresa Sordo
Title: President

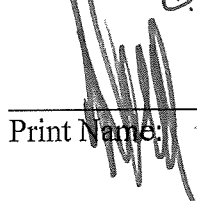

Print Name: JC Freyre

TENANT:

ALTA SUNSET, LLC, a Florida limited
liability company


Print Name: G.F. QUESADA

By: 
Name: RAIMUNDO OTERO
Title: Manager

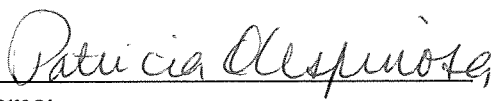

Print Name: JC Freyre

STATE OF FLORIDA)
COUNTY OF MIAMI-DADE)

SS:

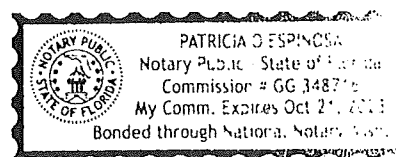
The foregoing instrument was acknowledged before me by means of ☒ physical presence
or ☐ online notarization this 8 day of August, 2020 by Teresa Sordo, as President of
SUNSET-MIAMI INVESTMENTS, INC., a Florida corporation, on behalf of said corporation.
She personally appeared before me, and is personally known to me or produced
_____ as identification.

[NOTARIAL SEAL]

Notary: 
Print Name: _____
My Commission expires: _____

STATE OF FLORIDA)
COUNTY OF MIAMI-DADE)

SS:



The foregoing instrument was acknowledged before me by means of ☒ physical presence or ☐ online notarization this 8 day of ~~August~~^{September}, 2020 by Felipe Raimundo Oneto, as Manager of **ALTA SUNSET, LLC**, a Florida limited liability company, on behalf of said company. He personally appeared before me, and is personally known to me or produced _____ as identification.

[NOTARIAL SEAL]

Notary: Patricia O Espinosa
Print Name: _____
My Commission expires: _____

